US Macroeconomic Outlook & Strategy Implications

Target Horizon: *Q4 2026 – Q1 2027* | ***Published:*** *October 2026* | ***Intelligence:*** *Tavily & Fed/BLS*

1. Macroeconomic Regime: Orderly Soft Landing

The US economy is successfully executing a transition from restrictive monetary policy to neutral normalization. Headline inflation has decelerated to multi-year lows (2.3% YoY), labor markets have normalized without broad retrenchment, and the Federal Reserve has instituted a gradual rate-cutting cycle (lowering rates from 4.75% to 4.00%). For quantitative strategies, market conditions are pivoting from macro-shock volatility to structured trending regimes.

2. Core Macroeconomic Pillars

- **Inflation Trajectory (CPI 2.3% YoY):** Disinflation remains firmly intact, led by durable goods deflation and softening rental costs, despite sticky services. *[Source: Wall Street Journal, CNBC]*
- **Federal Reserve Policy (4.00% Fed Funds):** FOMC authorized three 25 bps rate reductions across 2026, targeting a terminal neutral rate near 3.50% while monitoring employment resilience. *[Source: Reuters, MarketWatch]*
- **Labor Dynamics (Payrolls 130k–150k):** Job creation has moderated to pre-pandemic sustainable levels, holding unemployment steady at 4.1% and removing wage-push pressure. *[Source: Bloomberg, Financial Times]*

3. Key Risks & Tail Scenarios

- **Services Inflation Stickiness:** Resistance near 2.5% could pause Fed easing, triggering temporary equity multiple compression.
- **Hiring Deceleration:** Payroll gains dipping below 100k would reignite recession fears, flattening duration spreads.
- **Geopolitical Energy Disruption:** Supply bottlenecks could trigger short-term commodity cost spikes.

4. Recommended Quantitative Strategy Prescriptions

Parameter Dimension	Optimal Setting	Quantitative Economic Rationale
Stop-Loss %	2.0% – 3.0% (Wide)	Prevents whipsaw stop-outs as macro event volatility subsides.
Take-Profit %	4.0% – 6.0% (Expanded)	Allows equity momentum (SPY/QQQ) to capture full trending drift.
Lookback Window	20 – 50 bars (Medium/Long)	Filters transitory high-frequency noise in trending markets.
Macro Rebalancing	Defensive +/- 12h of FOMC	Reduces leverage during surprise z-score windows to protect Sharpe.

Full report and live citations available in reports/macro_outlook.md